

Research Briefing | UK

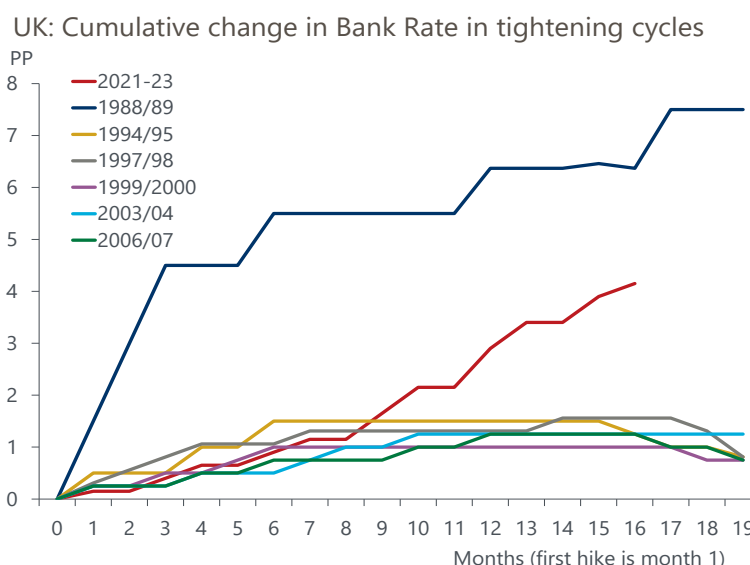
The outlook for monetary policy

- The sharp jump in UK interest rates since December 2021 – already the biggest tightening cycle since the late 1980s – is now pretty much over. We expect one more, final 25bp hike in May, but interest rates are now near their peak.
- Weakness in housing corroborates other signs that monetary policy is now restrictive, while the lagged effects of the rapid tightening will weigh heavily on growth in coming quarters. Alongside lower energy prices, some decline in inflation expectations, and indications that the labour market is loosening, inflation and pay growth are likely to slow sharply over the rest of this year.
- The scale of this tightening cycle has been amplified by several factors: the starting point of exceptional stimulus during the pandemic; the side effects of risk management considerations that encouraged the BoE and other central banks to delay tightening in late 2021 and tighten only gradually in early 2022; and the boost to inflation expectations from the energy price surge.
- We suspect that monetary policy cycles in the next 10-20 years also may be relatively large compared to the modest cycles that were the norm for the last 30 years. This is partly because the UK and other economies may face a more volatile inflation climate due to a higher frequency of adverse supply shocks, potentially requiring more aggressive monetary policy cycles to ensure inflation expectations are anchored. It also reflects the likelihood that monetary policy will again be shaped by risk management considerations stemming from relatively low neutral rates.

Since late 2001, the MPC has raised Bank Rate by over 400bps, by far the largest tightening cycle since BoE independence in 1997 and the biggest since 1988-1989. The ECB and Fed have implemented similarly outsized tightening cycles. By comparison, prior tightening cycles since 1993 in the UK generated rate rises of only 100bps-150bps. The speed and scale of this cycle raises three key questions:

- Why has the MPC had to hike rates so much?
- When will the tightening cycle end?
- Are we back in an environment of big interest rate cycles like those of the 1970s and 1980s, rather than the mild interest rate cycles that have generally prevailed since 1993?

Chart 1: The UK's biggest tightening cycle since the 1980s



Source: Oxford Economics/Haver Analytics

Comments on the outlook for monetary policy

Why has this tightening cycle been so large?

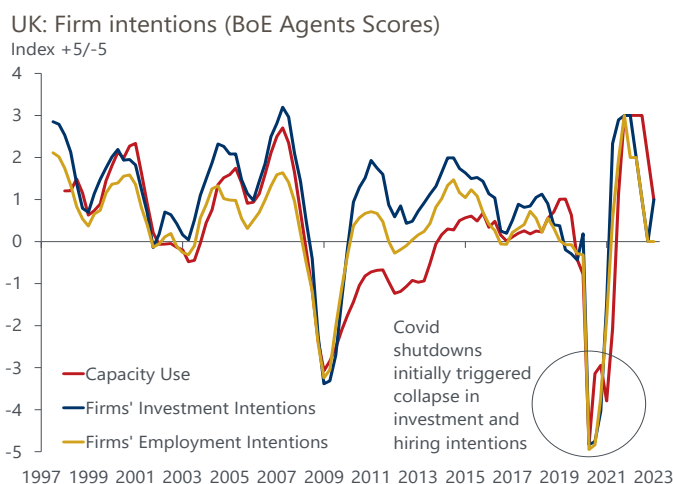
In our view, the scale of the tightening cycle reflects the combination of three factors: the unusually loose starting point for policy due to Covid-related stimulus; the delayed start to, and initially gradual pace of, tightening, which reflected risk management considerations; and a rising neutral rate, reflecting higher inflation expectations.

During the early stages of the pandemic in 2020, the MPC loosened monetary policy markedly, with ultra-low interest rates, credit easing measures, and a large expansion of asset purchases. That policy stance could not, of course, prevent the plunge in activity caused by Covid-related lockdowns, which largely represented a temporary drop in potential output.

Rather, the aim of the support measures ([as the MPC noted at the time](#)) was to reassure households and firms that activity would recover promptly once Covid restrictions eased, and to encourage banks to continue to maintain credit supply. In turn, this would reduce the risk that the initial plunge in firms' hiring and investment plans during the Covid lockdowns would trigger a spiral of cutbacks, precautionary savings, business failures, and job losses that would cause severe long-term scarring on activity and potential output.

Fiscal policy also played a big role in supporting households and firms, indeed a bigger role than monetary policy. But at the time, there was considerable uncertainty as to whether fiscal policy alone could carry that burden, and hence a need for monetary policy support as well. [I fully supported that easing at the time](#) and still do now. Helped by that policy support, long-term unemployment is now close to the pre-pandemic level. But it was always possible that, as restrictions eased and activity picked up, policy would need to be tightened significantly to unwind the Covid stimulus.

Chart 2: When Covid hit, the sharp initial plunge in firms' hiring and investment plans risked sizeable long-term scarring on economic growth



Source: Oxford Economics/Haver Analytics

The second factor is the side effects of [risk management considerations](#) related to the proximity of policy rates to the effective lower bound (ELB), which encouraged the MPC (and other major central banks) to delay tightening in H2 2021 and early 2022. For several years before the pandemic, many advanced economies seemed to be stuck in secular stagnation, with persistent spare capacity and below-target inflation, even with policy rates at or close to their ELBs. When policy rates are at or near the ELB, a central bank's ability to react to shocks is asymmetric. There is ample scope to tighten policy if needed, but only limited scope to provide effective stimulus – especially if government bond yields are also near the ELB and hence cannot be pushed down much further by asset purchases.

Under these conditions, risk management considerations imply that it is safer to err on the side of leaving rates low for too long and then catch up with extra tightening if needed, rather than tighten too early and run the risk that if the adverse effects on activity effects of monetary tightening are compounded by a new

Comments on the outlook for monetary policy

disinflationary shock, the economy gets stuck with below-target inflation and inadequate scope for monetary stimulus.

The risk management arguments to delay tightening were a factor in the MPC's decisions in 2021 – see the MPC minutes of [May 2021](#) (para 55), [June 2021](#) (para 53), [August 2021](#) (para 54), and [November 2021](#) (para 70). However, [individual MPC members](#) expressed differing views over the weight to attach to them as the year progressed.

The ELB-related risk management considerations were also important in the ECB's patient strategy in 2021 (see [here](#) and [here](#)), and in the US Fed's average inflation targeting (AIT) framework adopted in 2020 (see [here](#) and [here](#)).

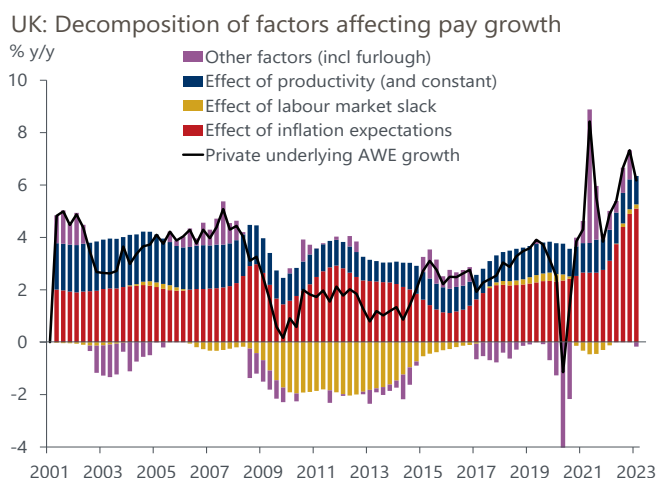
But the strategy to avoid secular stagnation by delaying tightening has an important side effect: it means that when a central bank does eventually tighten, it's likely to be "behind the curve". Hence, it may then need to tighten relatively sharply in speed and scale to prevent inflation overshooting. The delay in tightening on risk management grounds in 2021 and early 2022 probably increased the tightening required subsequently, at least partially. But that doesn't necessarily mean that the risk management considerations were invalid, given the high uncertainties of late 2021 and early 2022, including those around the end of furlough.

Naturally, these assessments are easier with the benefit of hindsight. Moreover, even if UK monetary policy had been tightened a bit earlier in late 2021 and faster in early 2022, it's still likely that a relatively large tightening cycle would have been needed. The key point is that valid ELB risk management considerations (which shaped monetary policy in 2021 and early 2022) probably have contributed to the scale of the tightening cycle since then.

The third factor that magnified the scale of tightening was the surge in inflation expectations since late 2021, as the Europe-wide leap in energy prices and global constraints on goods supply lifted headline inflation at a time when monetary policy was still relatively loose (partly reflecting the risk management considerations discussed above). Of course, the rise in energy prices has also eroded real incomes, but this effect has been largely offset by fiscal measures. In turn, the jump in inflation expectations helped to create second-round effects, with outsized gains in pay, domestic costs, and services inflation since early 2022.

Chart 3 highlights these effects, showing a decomposition of the factors affecting UK underlying private pay growth since 2001. It uses a conventional wage Phillips curve, in which pay growth is a function of labour market slack (unemployment rate less Nairu), inflation expectations (for the year ahead), and trend productivity growth ([see here for a similar model](#)).

Chart 3: Rising inflation expectations have lifted pay growth in the last two years



Source: Oxford Economics/Haver Analytics

Our research suggests that in the UK, over time, a 1ppt rise in inflation expectations lifts private sector underlying y/y average weekly earnings growth by 0.8ppts-0.9ppts, while a 1ppt rise in unemployment

Comments on the outlook for monetary policy

(relative to the Nairu) reduces y/y pay growth by about 0.7ppts. Moreover, inflation expectations tend to respond quite quickly to changes in headline inflation.

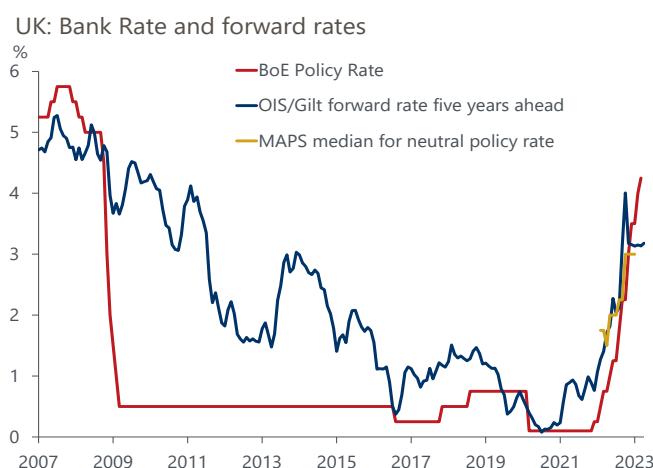
With this framework, the recent sharp pickup in pay growth can largely be explained in terms of second-round effects from high headline inflation and, as a result, higher inflation expectations, plus a more modest impact from the tight labour market. Other factors, including the possibility of a steeper wage Phillips curve, may also have played a role, but probably a secondary one compared to inflation expectations and the tight labour market.

Overall, in my view it's useful to think of this monetary policy tightening cycle as comprised of two elements: the need to move from the loose pandemic policy stance to restrictive in response to excess demand and capacity pressures; and [a significant rise in neutral nominal rates](#), driven chiefly by higher inflation expectations, which requires a higher nominal rate to achieve the same level of real rates. By contrast, previous MPC tightening cycles generally only consisted of a shift in the policy stance (e.g., from loose to restrictive) around a roughly stable nominal neutral rate, and hence were smaller in magnitude.

The neutral level of interest rates is somewhat uncertain, partly because it cannot be observed directly and can change over time. As a guide, the [BoE MAPS survey](#) suggests that the consensus estimate of the neutral level of UK policy rates has risen from 1.75% in early 2022 to 3% in recent months. IMF estimates suggest that the 'natural' real rate for the UK (which is akin to the neutral rate, if inflation expectations are anchored and there are no major short-term shocks) will be around 0.3% in coming years. Assuming a 2% inflation target and anchored inflation expectations, this might point to a neutral nominal rate of around 2.3% (but potentially higher if inflation expectations are elevated, as recently). The level of policy rates implied by markets five years ahead has risen from about 1% in 2019 and a similar level in late-2021 to just above 3% now (with significant rises also in the US and eurozone).

Moreover, the consensus for UK policy rates three or four years ahead has risen from 1%-2% in 2019 and around 1.25% in late-2021 to about 3% recently. Those forward rates and long-term projections for policy rates are sufficiently distant that (given that inflation breakevens and forecasts at that horizon are around a target-consistent level) they probably reflect something like the expected neutral nominal rate. Without wishing to endorse any of those figures too precisely, they suggest the neutral rate for the UK has risen from below 2% in 2019 (just before the pandemic) and in 2021 to perhaps 2.25%-3.5% now. Bank Rate (now at 4.25%) has moved from loose to restrictive relative to that rising neutral rate, but this has required a relatively large rise in nominal policy rates.

Chart 4: The neutral nominal level of interest rates appears to have risen



Source: Oxford Economics/Haver Analytics

Why the tightening cycle is now nearly over

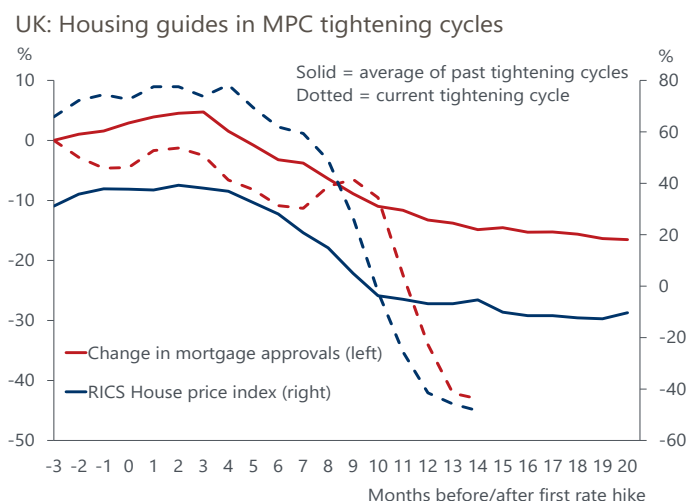
We suspect that this tightening cycle is now largely over, with [probably a final 25bp hike in May](#). The economy has been flat-lining since mid-2022, while the lagged effects of the recent large policy tightening are likely to weigh on activity and produce a sustained rise in spare capacity in the coming quarters.

Comments on the outlook for monetary policy

Moreover, headline and core inflation are set to fall sharply as energy effects fade. Together, the effects of rising slack and lower headline inflation are likely to create a mutually reinforcing cycle of falling inflation expectations, weaker pay growth, and a further decline in inflation.

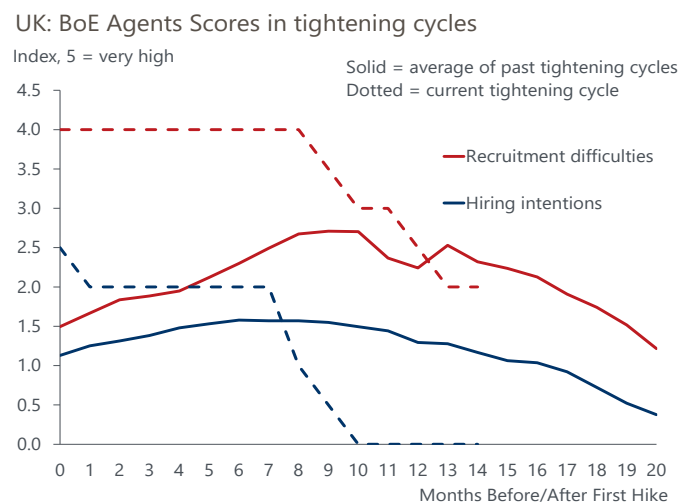
Changes in monetary policy affect the economy with a considerable lag, and the peak effect on economic growth typically takes about a year. As noted, in the previous tightening cycles since 1993, Bank Rate rose by 100bps-150bps over three-four quarters. Hence, these tightening cycles had largely ended before most of their effects on activity showed up. Charts 5 and 6 show the average trends in some key indicators in prior MPC cycles.

Chart 5: Housing has weakened more than in previous tightening cycles



Source: Oxford Economics/Haver Analytics

Chart 6: Labour market also seems to be loosening more than previous tightening cycles



Source: Oxford Economics/Haver Analytics

Typically, housing, which is very interest rate-sensitive, starts to weaken two-three quarters after the first interest rate hike, with aggregate economic activity weakening a quarter or two later and labour market pressures (reflected here in the BoE agents survey measures of firms' hiring intentions and recruitment difficulties) weakening after about a year. Given the lags, clearer signs of weakness in business surveys and labour market conditions usually only emerged after tightening ended. Moreover, when the last rate hike occurred, it often was not clear at the time that it would be the last hike: markets – and the MPC – often expected further tightening and then scaled back expectations subsequently as further evidence of economic slowdown emerged.

In this tightening cycle, we have already seen a relatively large deterioration in housing guides and survey guides to firms' hiring intentions, as well as a general softening in business surveys and capacity use. Of

Comments on the outlook for monetary policy

course, some of this weakness may reflect factors other than rising interest rates (e.g., high energy prices, the end of the temporary cut in stamp duty in 2020-2021). But, as it is very sensitive to interest rates, the marked weakness in housing probably also signals that monetary policy is now restrictive. Moreover, aggregate economic activity has been roughly flat since mid-2022. The BoE agents survey suggests that firms already have reported in recent quarters that credit availability is relatively poor, and the recent banking sector strains may exacerbate this.

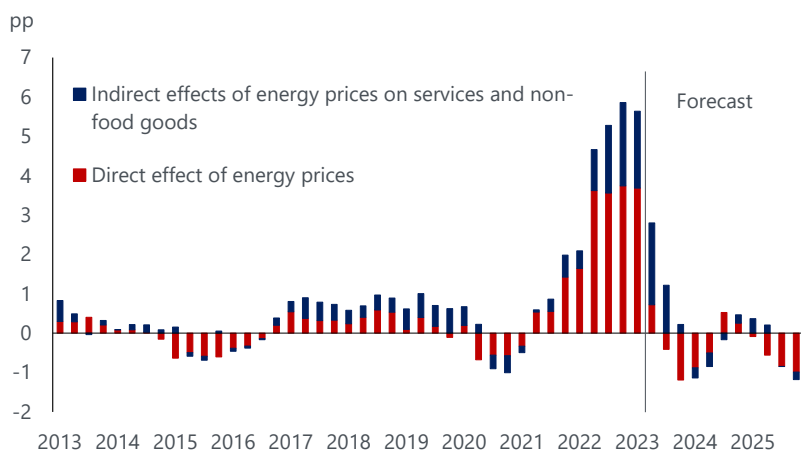
There are arguments that the lags from [monetary policy changes to inflation have shortened](#) because central bank guidance can affect expectations even before policy rates change. But, for the UK especially, there is also the possibility that the lags have lengthened because – with [a higher share of fixed-rate debt](#) – it takes longer for households and firms to feel the full effects of interest rate changes. Either way, given that there are quite sizeable lags in monetary policy's effects, and the scale of the recent monetary tightening, further weakness in housing, business surveys, capacity use, and hiring intentions is likely to emerge in the next 2-3 quarters.

To be sure, there are still uncomfortably strong trends in key inflation measures (headline, core, and especially services) and underlying private sector pay growth. However, the conditions are now in place for prices and pay to weaken significantly in the next few quarters.

Recent strength in UK headline and core inflation has owed a lot to the direct and indirect effects of higher energy prices, as well as higher agricultural commodity prices. The direct effects of higher energy prices (i.e., increases in household bills for electricity, gas, and petrol) have added about 3.7ppts to annual CPI inflation in Q1. Energy prices have also created [substantial indirect upward pressure on services inflation and non-food goods \(i.e., items in core inflation\)](#), because firms have inevitably passed on part of the surge in energy costs to selling prices. Based on a disaggregated split of CPI items and the share of energy in firms' costs, we estimate that the indirect effects of energy prices on core CPI items have added about 2ppts to annual CPI inflation in Q1 (with similar effects on both services and core goods).

Chart 7: Energy prices have added a lot to inflation, but this effect is set to fade markedly in the coming quarters

UK: Contributions of energy prices to CPI inflation



Source: Oxford Economics/Haver Analytics

On average, the indirect effects of energy prices on annual CPI inflation are about half as big as the direct effects but tend to lag slightly by one-to-two quarters.

However, these energy effects are now set to fade. Wholesale energy costs have recently fallen sharply and, assuming energy prices follow the forward curve, the direct effects of energy on CPI inflation are likely to fall from close to 4ppts in Q1 to around -1ppt at year-end. The indirect boost from energy to inflation is likely to remain large in Q2 because of lags, but (again assuming energy prices follow the path implied by forwards) is likely to fade away by year-end. In all, therefore, direct and indirect energy effects alone are likely to reduce annual CPI inflation by about 7ppts between Q1 and Q4 this year.

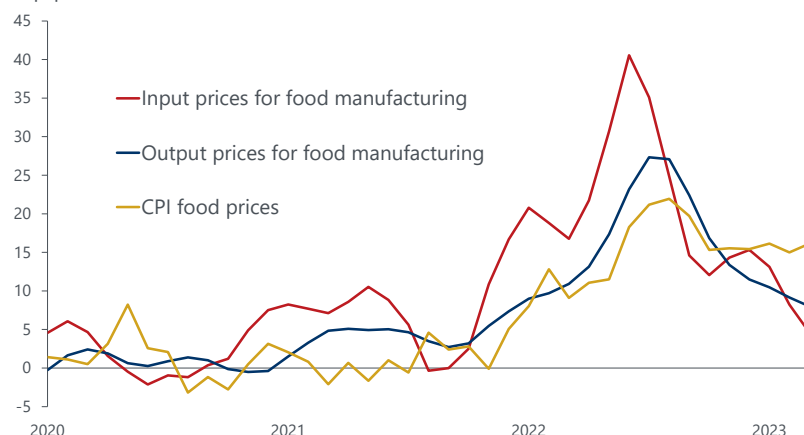
Comments on the outlook for monetary policy

Food production is also relatively energy intensive, and gains in energy costs and agricultural commodity prices lifted food price inflation close to 20% y/y in March (the highest rate for several decades). However, agricultural commodity prices (in sterling terms) have been drifting down since mid-2022, and the q/q annualised rate of output price inflation for food products already has slowed from 27% in mid-2022 to 8% in March (with an even sharper slowdown in input prices for food manufacturing). Looking ahead, the lagged effects of that recent slowdown in food costs, as well as lower energy prices, are likely to bring food price inflation markedly lower by year-end.

Chart 8: Lead guides suggest that CPI food price inflation will soon weaken

UK: Guides to food price inflation

% q/q annualised



Source: Oxford Economics/Haver Analytics

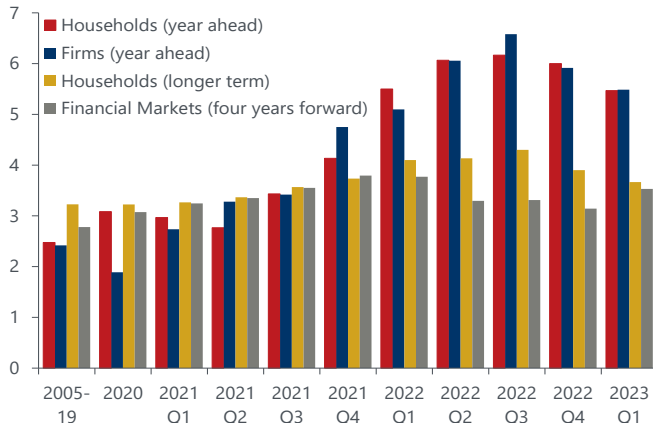
In all, we expect core CPI inflation will fall from 6.2% in March to about 4% in Q4. With additional downward pressure from direct energy costs and lower food price inflation, we expect headline CPI inflation to drop to around 3% at yearend, and to the 2% target next year.

The factors that have driven the sharp pick-up in pay growth also are turning around. Short-term unemployment already has been drifting up since Q3 2022, and the recent declines in vacancies and in survey guides to firms' hiring intentions suggest that the overall [jobless rate will rise slightly later this year](#). Moreover, with monetary policy now tight and headline inflation set to fall markedly, inflation expectations already have fallen somewhat from their peaks (using measures from households and firms, as well as financial market inflation breakevens). The evidence of falling inflation is likely to reinforce this decline in inflation expectations over the rest of this year, especially inflation expectations for the year ahead, which have a big influence on pay growth.

Chart 9: Inflation expectations already have fallen back somewhat

UK: Inflation expectations measures

%

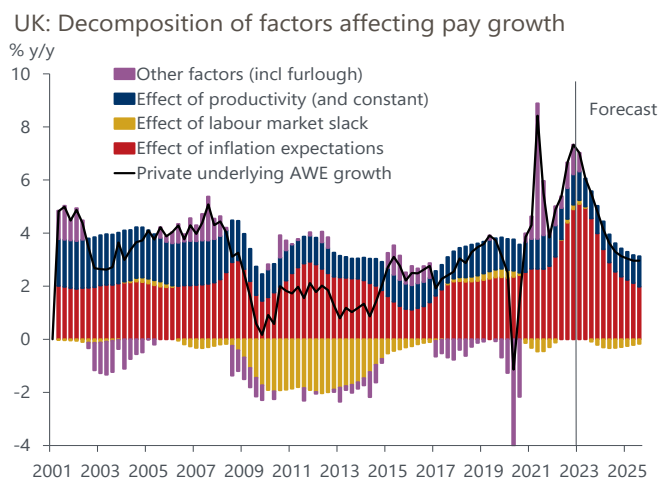


Source: Oxford Economics/Haver Analytics

Comments on the outlook for monetary policy

All told, we expect underlying private pay growth to weaken to around 4% early next year, and close to 3% late next year.

Chart 10: Underlying private sector pay growth set to slow sharply as inflation expectations fall and slack rises



Source: Oxford Economics/Haver Analytics

Although core inflation and pay growth are likely to slow in the coming quarters, they may well remain above a target-consistent pace throughout this year (about 2% for core inflation and 3% for underlying pay growth). Under these conditions, some MPC members may be tempted to keep tightening monetary policy beyond May to provide greater certainty that pay growth and core inflation will quickly return to target-consistent rates, and then if necessary to cut rates quite rapidly once pay and price gauges are at a satisfactory pace. However, this strategy would come at the cost of exacerbating undesirable volatility in economic activity, and cut against the MPC's aim of focussing on medium-term inflation prospects. A strategy of aggressive over-tightening and then rapid loosening would be more appealing if signs emerged that inflation expectations were being destabilised by high headline inflation rates. But that risk has diminished as inflation expectations have fallen and lower energy prices have reduced the threat of another year of very high inflation.

If inflation expectations are trending lower and evidence is building that core inflation and pay will weaken, as seems to be happening now, we suspect the majority on the MPC will soon prefer a more patient strategy of keeping rates on hold to allow the lagged disinflationary effects from the large cumulative tightening to work through.

We don't expect the MPC to start cutting rates anytime soon, absent a sharp tightening in financial conditions. Barring such downside risks, we doubt the MPC will loosen policy unless pay growth and services inflation have weakened markedly and are clearly set to fall below a target-consistent pace. That seems unlikely this year. Rather, the outlook is more likely to be a fairly lengthy plateau with perhaps a modest loosening in policy next year, against a background of a neutral rate that is likely still above pre-pandemic levels.

In May, the MPC will look to step off the interest rate escalator

At this stage, we expect a further, final 25bp hike at the May meeting. But the actual decision will depend on upcoming data and market rate expectations at the time. Moreover, the MPC's communications on interest rate prospects will be at least as important as the rate decision. We expect the MPC will aim to use the May meeting and the accompanying monetary policy forecast to signal that the long period of sequential tightening – with rates already having risen for 11 meetings in a row – is coming to an end. The committee may still leave open the possibility that rates might rise further, but probably will remove its previous tightening bias and indicate that the hurdle for further action is relatively high compared to recently.

Comments on the outlook for monetary policy

One way to achieve this would be to drop the tightening bias implied in the March Monetary Policy Summary ("If there were to be evidence of more persistent pressures, then further tightening in monetary policy would be required."). The MPC could replace this with fuzzier language, such as: "If there were to be significant new evidence of more persistent pressures, then further tightening in monetary policy might be required." Or it could simply drop that sentence altogether and retain the more neutral phrase (which was also in the March MPS): "The MPC will adjust Bank Rate as necessary to return inflation to the 2% target sustainably in the medium term, in line with its remit." Such a message would be reinforced if accompanied by a forecast that if Bank Rate is stable thereafter, CPI inflation will fall back to (or below) the 2% target within the next two years, not just in the central forecast but also the risk-adjusted outlook excluding effects of energy prices.

The resultant policy signal would probably be more likely to maintain the MPC's anti-inflation credibility if it's not accompanied by a dovish surprise in the actual rate decision on the day. Hence, if markets still expect a 25bp hike at the May meeting, the MPC would be very likely to deliver that hike.

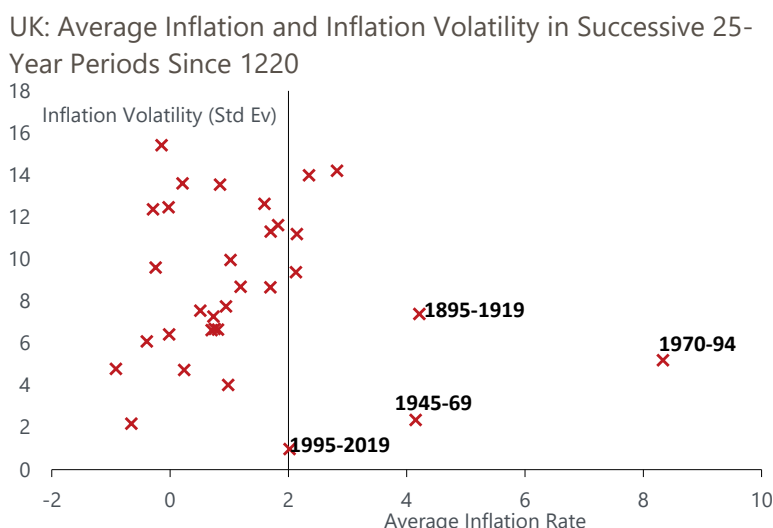
Are relatively large interest rate cycles now likely to be the norm?

A return to the extreme interest rate volatility seen in the UK in the 1970s and 1980s seems unlikely, especially given that – after BoE independence – inflation expectations are better anchored now than then. Nevertheless, we tentatively suspect that UK interest rate cycles over the next 10-20 years or so may well on average be bigger than the typical norm (100bps-150bps either way) that generally prevailed from 1993 until the pandemic.

Some of the factors that have necessitated the current relatively large tightening cycle may be unique; hopefully there won't be another pandemic (and associated exceptional monetary easing) anytime soon. But there are two reasons to expect that future monetary policy cycles – both tightening and loosening – are likely to be relatively large compared to the norms of the 1993-2019 period.

First, inflation is likely to be more volatile than in the couple of decades before the pandemic, when inflation in the UK and other advanced economies was low and exceptionally stable. Indeed, the volatility of UK inflation in the 25 years ended 2019 was the lowest since data began in the 13th century. Available data suggest inflation volatility in other major advanced economies was also exceptionally low in that period.

Chart 11: UK Inflation before the pandemic was low and exceptionally stable



Source: Oxford Economics/Haver Analytics

In the 20-30 years before the pandemic, a series of exceptionally benign supply shocks (e.g., the end of the Cold War, the entry of China into the world trading system, the spread of democracies, containerisation of world trade, technological change) allowed widespread globalisation and increased market openness, lifting growth and lowering advanced economy inflation. At the same time, there were fewer of the large adverse supply shocks (e.g., major wars, major pandemics, energy restrictions) that in other periods have

exacerbated inflation volatility. Persistently low inflation outturns and the lack of volatility in inflation helped lower inflation expectations and anchor them close to inflation targets. In turn, this flattened wage Phillips curves and helped to keep advanced economy wage growth and services inflation at subdued rates. These trends helped to [lower the neutral nominal level of rates](#) in the decades before 2019, but also implied that the neutral level of rates was relatively stable from year to year, so that changes in nominal policy rates were reflected more or less fully as changes in expected real rates.

However, if those benign conditions were, to an extent, simply the good luck that supply shocks were overall generally disinflationary, then one would not want to assume that the mix of supply shocks for the coming decades will be so one-sided. In addition, there are also some underlying global trends that may increase the likelihood of adverse supply shocks in the next decade or two compared to the 25 years before the pandemic. Some aspects of globalisation seem to be stalling or reversing, and there are multiple areas of tensions that could trigger renewed conflicts that become global economic shocks. Climate change and the transition to net zero also could affect economies in multiple ways. Even if, as is our base case, headline inflation falls back markedly in 2023 and 2024, there may be another adverse supply shock in the next few years, and another after that. So, we may be heading for a more volatile inflation climate than the 20-30 years before the pandemic.

The experience of the last year or two highlights the possibility that inflation shocks can generate second-round effects through inflation expectations and pay growth, and hence threaten to cause lasting deviations of inflation from target. Moreover, the same factors may shift perceptions of the neutral interest rate, and hence require a relatively large swing in interest rates to ensure inflation returns to target. So a more volatile inflation climate would make it more likely that monetary policy will need to act to ensure that inflation expectations are anchored in line with inflation targets, hence requiring relatively large adjustments in nominal policy rates.

A second factor is that the neutral level of nominal interest rates [remains relatively low](#), and key drivers of the previous drop in the trend of real neutral rates – population ageing, low productivity growth, global savings and investment trends – [are still in play](#). As a result, there is a non-trivial possibility that in future years the economy will face a disinflationary shock that is large enough to cause policy rates to again approach the ELB. In this case, the growing risk that monetary policy will become constrained and unable to provide additional support for activity if needed would be likely to further weigh on sentiment, increasing caution among businesses and households, and adding to downside risks to growth.

Under these conditions, ELB [risk management considerations again](#) would become important, and imply aggressive and rapid monetary loosening in order to revive the economy rather than risk drifting into a 'low-flation' trap with inadequate scope for stimulus. In other words, when rates are close to the ELB, an easing cycle that is slightly greater than 'normal' could morph into a rapid collapse in rates to the ELB. In turn, a return to the ELB would mean that when central banks looked to tighten policy again, they might be tempted to delay for risk management reasons. Such considerations would then lay the stage for a relatively large subsequent tightening cycle once rates again rise from the ELB.

Overall, our tentative conclusion is that even if future interest rate cycles are not necessarily as large as this one, it would be sensible to not assume a return to the relatively small interest rate cycles typically seen in the 15 years before the pandemic.